THEMATIC RESEARCH · DATA PREVIEW

Jobs Friday Preview: What October's Payrolls Mean for the Fed

The US October employment report, due on Friday 6 November at 08:30 ET (14:30 in Spain), is the last jobs report before the Fed's 9 December meeting. Consensus expects about 65,000 jobs after September's 29,000, with unemployment at 4.2% and wage growth slowing to 2.9%. This preview sets out the trend, the revisions, the forecasts, the other indicators and how markets could react to each outcome.

Global Markets Research · Macro Desk Prepared by ANDRA MARKETS

~4.2%

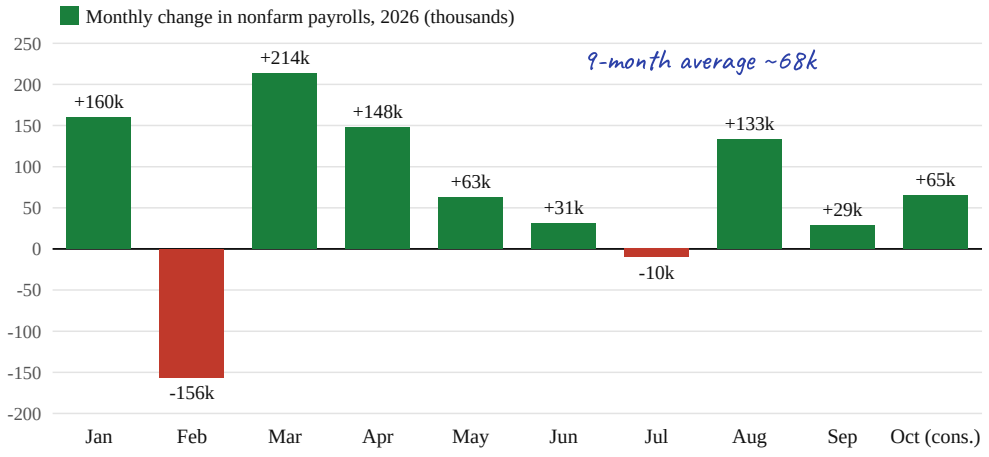
the last one before Dec

Coverage summary. Payrolls have been weak and volatile all year: the economy added an average of about 68k jobs a month from January to September, with a three-month average of 51,000 in September and a fall of 10,000 in July. Unemployment, 4.2% in September, has barely moved, because labour supply has slowed too: a 'low hiring, low firing' market. Consensus compiled by FactSet expects 65,000 jobs in October, with forecasts from 35,000 to 125,000, unemployment unchanged at 4.2%, hourly earnings up 0.3% on the month and 2.9% on the year, the slowest since 2021. ADP's private payrolls rose 86,000. The stakes are higher than usual: before the election the market priced a December Fed hike at about 70% to 80%, and the sharp fall in oil this week and the midterm result have since reshuffled the inflation and fiscal outlook. A strong report supports a hike; a weak one makes it much harder to justify.

low hiring, low firing

CONSENSUS PAYROLLS	UNEMPLOYMENT	HOURLY EARNINGS	RELEASE
~65k	**4.2%**	**2.9% y/y**	**Fri 6 Nov**
FactSet; range 35-125k	*range 4.1-4.3%*	*+0.3% m/m*	*08:30 ET / 14:30 CET*

EXHIBIT 1. MONTHLY CHANGE IN US NONFARM PAYROLLS, 2026 (THOUSANDS)



volatile, weak trend

Sources: BLS via Masthead Wire and IndexBox (latest estimates, January-September); FactSet consensus via Morningstar (October).

1.0 Executive Summary

Six things to know

1. The trend is weak. Job gains averaged about 68,000 a month this year and 51,000 over the last three months, well below last decade's norms. February and July were negative.

1. trend

2. Revisions have been large. May's first estimate of 172,000 is now 63,000; July and August were cut by a combined 60,000 last month. The first print matters less than the trend, and markets know it.

3. Wages are slowing below inflation. Average hourly earnings rose 3.0% in September against 3.7% CPI inflation, so real pay is falling. Wage growth of 2.9% in October would be the slowest since 2021.

4. Low unemployment despite low hiring. The unemployment rate has stayed between 4.1% and 4.4% all year, because slower labour-force growth has reduced the number of jobs needed to keep it stable, economists say.

5. The Fed is focused on inflation. The FOMC said in October that it saw no signs of instability in the workforce, and three officials argued for higher rates on 30 October. A strong report would support them; a weak one would weaken the case.

6. Our reading. A print near consensus would keep December a live decision. The asymmetry favours weak surprises: after this week's fall in oil, a soft report would let markets price out a hike quickly.

2.0 The Trend

A year of slow hiring

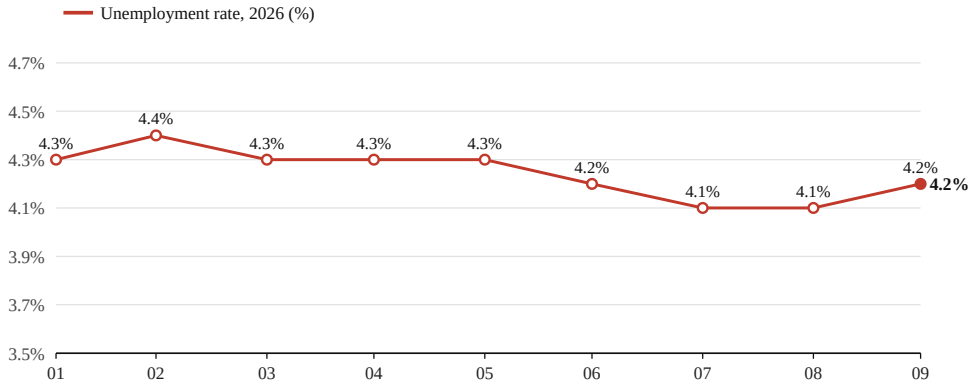
Monthly payroll growth in 2026 has swung between a loss of 156,000 in February and a gain of 214,000 in March, but the trend has been slow: the three-month average fell from 142,000 in May to 28k in July and recovered to 51,000 in September. Employment rose 496,000 over the year to September, 0.3%. Healthcare has been a steady source of jobs, the information industry has lost jobs and government employment has been volatile, with large swings in local education, according to BLS releases.

Exhibit 2. Payrolls, three-month moving average (thousands)



Source: Andra Markets calculation from BLS monthly changes (latest estimates).

Exhibit 3. Unemployment rate, 2026 (%)

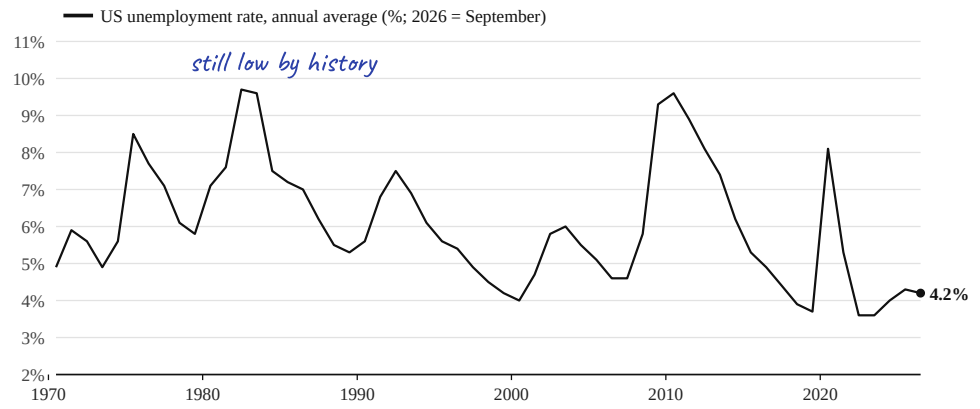


Sources: BLS via SimianX and Continuum Economics (July-August 4.1%; September 4.2%).

Unemployment tells a calmer story. It was 4.3% in January, peaked at 4.4% in February and has stayed between 4.1% and 4.3% since. By historical standards that is low: annual unemployment averaged 6% or more in much of the period from the mid-1970s to the early 1990s. The puzzle of 2026 is weak

hiring with stable unemployment, which economists commonly attribute in part to slower labour-force growth.

Exhibit 4. US unemployment rate, annual average since 1970 (%)



Sources: BLS via public employment dataset (annual, to 2025); September 2026 value for 2026.

3.0 Revisions

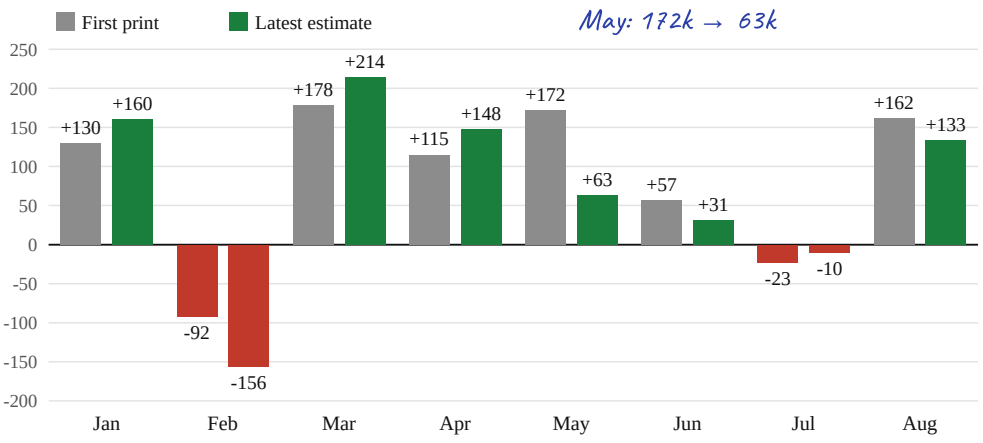
Why the first print can mislead

~2.6%

Payroll estimates are revised twice in the following two months and again in annual benchmarks, as more survey responses arrive. In 2026 the revisions have been unusually large. May was first reported at 172,000 and now stands at 63,000; June fell from 57,000 to 31,000; August from 162,000 to 133,000; February was first a loss of 92,000 and is now a loss of 156,000. March and April were revised up. On jobs day the market reacts to the first print and the revisions together: in June 2026 the S&P 500 fell 2.6% when a strong headline lifted the two-year yield 12 basis points, a figure since revised down by almost two thirds.

-109k in May

Exhibit 5. Payrolls: first print vs latest estimate (thousands)



Sources: Investing.com (first prints); BLS latest estimates via Masthead Wire and IndexBox.

4.0 Wages and Real Pay

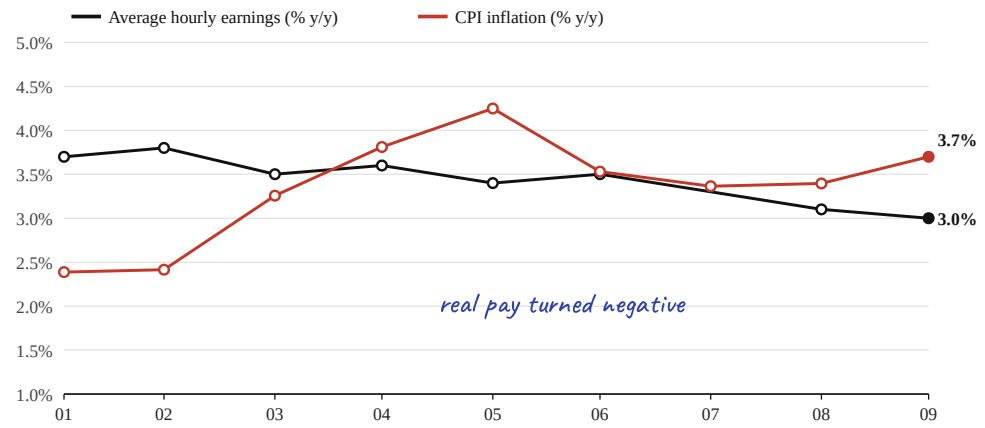
Slower pay growth, faster prices

real pay ↓

Average hourly earnings rose 3.0% in the year to September, down from 3.7% to 3.8% early in the year, while CPI inflation rose from about 2.4% in February to a peak near 4.3% in May and 3.7% in September. Real pay has been falling since the spring, which helps explain record-low consumer sentiment. Slower wage growth is the main reason economists say the labour market is not a source of inflation pressure. The Fed's worry is energy, not wages: a further slowdown in pay would support those who argue the inflation shock will fade on its own.

~3%

Exhibit 6. Wages vs prices, 2026 (% year on year)



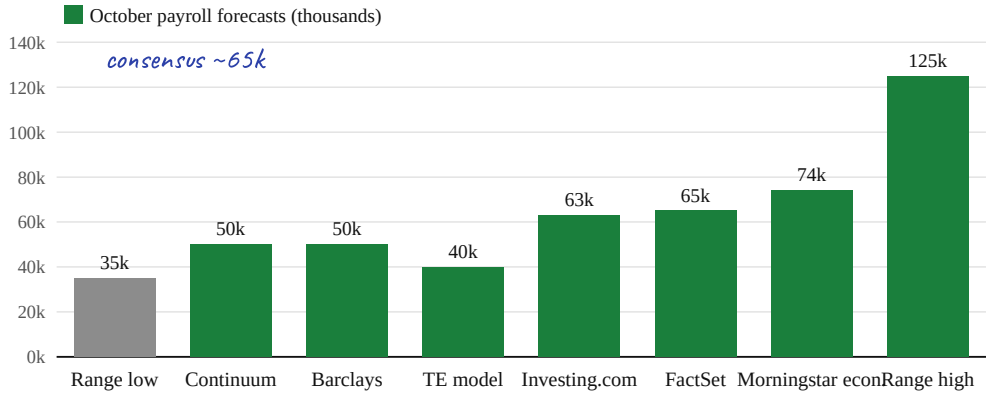
Sources: BLS via SimianX and Trading Economics (hourly earnings; July not shown); BLS CPI-U via public dataset to August and BLS for September.

5.0 The Forecasts

Where economists stand

Forecasts cluster between 50,000 and 75,000. FactSet's consensus is 65k; Investing.com shows 63,000; Continuum Economics expects 50,000 with private payrolls of 45,000 and unemployment of 4.2%; Barclays' Marc Giannoni also expects 50,000 but unemployment falling to 4.1%; Morningstar's economist expects about 74,000, led by healthcare and education; Trading Economics' model shows 40,000. Credit Agricole expects hourly earnings of 0.3% on the month and 2.9% on the year. Continuum expects a shorter workweek and wage growth of 2.8%, the slowest since May 2021.

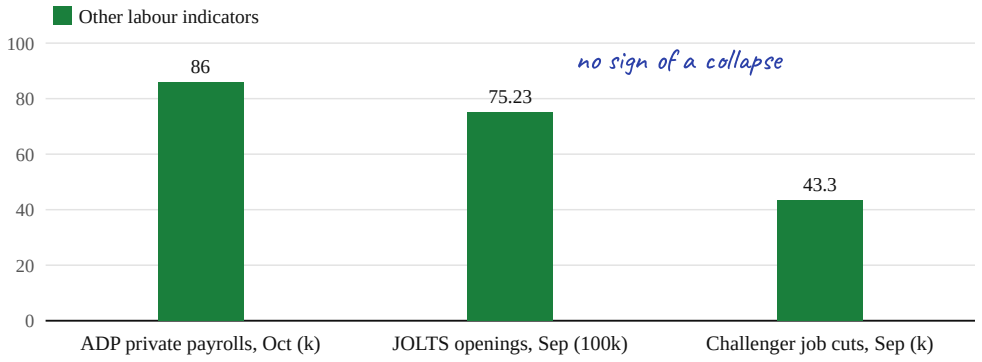
Exhibit 7. October payroll forecasts (thousands)



Sources: FactSet via Morningstar; FinancialJuice (range); Investing.com; Continuum Economics; Barclays via Kiplinger; Trading Economics.

The other labour indicators point to a soft but stable market. ADP's private payrolls rose 86,000 in October; job openings in the JOLTS survey rose to 7.52 million in September from 7.19 million; Challenger reported 43,281 announced job cuts in September, down from 52,881. None suggests a sharp deterioration, which is why most forecasters expect a modest rebound from September's 29,000.

Exhibit 8. Other labour-market indicators



Sources: ADP, BLS JOLTS and Challenger, Gray & Christmas via Trading Economics. Units as labelled.

6.0 Scenarios

How markets could react

asymmetry

Markets react to the combination of payrolls, unemployment and wages, and to revisions. Before the election, futures priced a December Fed hike at about 70% to 80%; the fall in oil this week and the midterm result may have changed that pricing, so the reaction will depend on where expectations stand on Friday morning. In general, a strong report lifts Treasury yields and the dollar and weighs on gold and long-duration growth stocks; a weak one does the opposite. A soft report after this week's oil fall would be the most market-moving outcome, because it would remove both arguments for a December hike at once.

~70%

Exhibit A. Andra Markets scenarios for the October report

Scenario	Payrolls / unemployment / wages	Fed read	Likely market channel
Strong	above 100k; 4.1%; 0.4% m/m	December hike firmly on	yields and dollar up; gold and growth stocks down
In line	50-80k; 4.2%; 0.2-0.3% m/m	December stays live, data-dependent	limited moves; focus on revisions
Weak	below 25k or negative; 4.3%+; ≤0.1% m/m	hike priced out	yields and dollar down; gold up; cyclicals mixed

Andra Markets scenarios; no probabilities assigned. Not a recommendation on any security.

Exhibit B. Jobs days in 2026: first print and market reaction

Report	First print	Latest estimate	Unemployment	S&P 500 on the day	2-year yield
January	+130k	+160k	4.3%	0.00%	+7bp
February	−92k	−156k	4.4%	−1.33%	−1bp
March	+178k	+214k	4.3%	closed	+5bp
April	+115k	+148k	4.3%	+0.84%	−2bp
May	+172k	+63k	4.3%	−2.64%	+12bp
June	+57k	+31k	4.2%	0.00%	−3bp

Source: SimianX compilation of BLS releases and market data.

7.0 Calendar

After Friday

Exhibit C. What comes next

Date	Event	Why it matters
6 Nov, 08:30 ET	October employment report	this preview
6 Nov, 10:00 ET	Michigan sentiment, preliminary November	consumer mood after the vote
Mid-Nov	October CPI	the last CPI before the Fed
17 Nov	Nvidia results	AI trade
Early Dec	November employment report	second data point before the Fed
9 Dec	Fed decision with projections	hike or hold

Andra Markets selection; dates from official calendars.

reading: a weak trend, stable unemployment and slowing wages. a soft print after the oil fall would be the outcome that moves the Fed most

Methodology and Source Notes

Method. This preview uses BLS data as compiled by Masthead Wire, IndexBox and SimianX, consensus and forecasts from FactSet, Investing.com, Trading Economics, Continuum Economics, Barclays, Morningstar and Credit Agricole, and indicators from ADP, JOLTS and Challenger, as available on 5 November 2026. Market reactions are historical. Scenarios are illustrative and not recommendations. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. BLS; FRED (PAYEMS); FactSet via Morningstar; Investing.com; Trading Economics; Continuum Economics; Barclays via Kiplinger; FinancialJuice; Credit Agricole; ADP; Challenger, Gray & Christmas; SimianX; Masthead Wire; IndexBox; TradingKey; TIOmarkets; Andra Markets 2026-76 and 2026-89.

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